(5)

IN THE NATIONAL COMPANY LAW TRIBUNAL, DIVISION BENCH - I, CHENNAI

CA (CAA)/29 (CHE) 2022

Under Sections 230 to 232 of the Companies Act, 2013

In the matter of *Composite Scheme of Arrangement*

of

PRICOL CORPORATE SERVICES LIMITED
CIN NO: U74140TZ2006PLC013190
No.109, Race Course,
Coimbatore – 641 018

... Applicant / 1st Transferor Company

TARGET MANPOWER SERVICES LIMITED
CIN No: U74910TZ2013PLC019905
No.109, Race Course,
Coimbatore – 641 018

... Applicant / 2nd Transferor Company

And

PRICOL HOLDINGS LIMITED
CIN NO: U65921TZ1981PLC001043
No.109, Race Course,
Coimbatore – 641 018

... Applicant/ Transferee Company

And

Their Respective Shareholders and Creditors

Order Pronounced on ***13th July 2022***

CORAM

Justice (Retd) S.RAMATHILAGAM, MEMBER (JUDICIAL)

SAMEER KAKAR, MEMBER (TECHNICAL)

For Applicant(s): V.Srinivasan, Advocate

COMMON ORDER

Per: **SAMEER KAKAR, MEMBER (TECHNICAL)**

Under Consideration is a Joint Company application filed by the Applicant Companies, namely **PRICOL CORPORATE SERVICES LIMITED** (for brevity "1st Transferor Company"), **TARGET MANPOWER SERVICES LIMITED** (for brevity "2nd Transferor Company") and **PRICOL HOLDINGS LIMITED** (for brevity "Transferee Company") under section 230-232 of Companies Act, 2013, and other applicable provisions of the Companies Act, 2013 read with Companies (Compromises, Arrangements and Amalgamations) Rules, 2016 in relation to the Composite Scheme of Arrangement (hereinafter referred to as the "SCHEME") proposed by the **PRICOL CORPORATE SERVICES LIMITED** (for brevity "1st Transferor Company"), **TARGET MANPOWER SERVICES LIMITED** (for brevity "2nd Transferor Company") and **PRICOL HOLDINGS LIMITED** (for brevity " Transferee Company") with its Shareholders. The said Scheme is also annexed to the CA/CAA/29(CHE) 2022.

2. The Applicant Companies in this Company Application has sought for the following reliefs;

	EQUITY SHAREHOLDERS	SECURED CREDITORS	UNSECURED CREDITORS
1ST TRANSFEROR COMPANY	To dispense with	To dispense with	NIL
2ND TRANSFEROR COMPANY	To dispense with	NIL	NIL
TRANSFEREE COMPANY	To dispense with	NIL	To dispense with

3. An affidavit in support of the above application is sworn for and behalf of the applicant Companies has been filed by Mr. T.G.Thamizhanban in the capacity of Director of the 1st Transferor Company, 2nd Transferor Company and the Transferee Company along with the application and it is also represented that the Registered office of the 1st Transferor Company, 2nd Transferor Company and the Transferee Company is situated at No.109, Race Course, Coimbatore – 641 018 within the territorial jurisdiction of the Bench of this Tribunal and falling within the purview of Registrar of Companies, Coimbatore.

4. **PRICOL CORPORATE SERVICES LIMITED (1ST TRANSFEROR COMPANY)**

(i) There are 7 (Seven) Equity Shareholders and list of shareholders to this effect is placed at page nos.368 to 369 and consent affidavits given by all the Equity Shareholders constituting 100% of the total value of

credit have been obtained are placed at page nos.370 to 390 of the typed set filed with the application constituting the and sought for dispensation with holding of meeting.

(ii) There is one Secured Creditor and the certificate issued by the Chartered Accountants to this effect is placed at page no.343 and consent affidavits given by the sole Secured Creditor have been obtained are placed at page nos.344 to 347 of the typed set filed with the application and sought for dispensation with holding of meeting.

(iii) There is NIL Unsecured Creditors and the certificate issued by the Chartered Accountants to this effect is placed at page no. 367 of the typed set filed with the application. Hence the necessity of convening, holding and conducting of meeting does not arise.

5. **TARGET MANPOWER SERVICES LIMITED (2ND TRANSFEROR COMPANY)**

(i) There are 7 (Seven) Equity Shareholders and list of shareholders to this effect is placed at page nos.397 to 398 and consent affidavits given by all the Equity Shareholders constituting 100% of the total value of credit have been obtained are placed at page nos.399 to 406 of the typed set filed with the application constituting the and sought for dispensation with holding of meeting.

(ii) There is NIL secured Creditors and the certificate issued by the Chartered Accountants to this effect is placed at page no. 393 of the typed set filed with the application. Hence the necessity of convening, holding and conducting of meeting does not arise.

(iii) There is NIL unsecured Creditors and the certificate issued by the Chartered Accountants to this effect is placed at page no. 396 of the typed set filed with the application. Hence the necessity of convening, holding and conducting of meeting does not arise.

6. PRICOL HOLDINGS LIMITED (TRANSFEREE COMPANY)

(i) There are 8 (Eight) Equity Shareholders and list of shareholders to this effect is placed at page nos.417 to 418 and consent affidavits given by all the Equity Shareholders constituting 100% of the total value of credit have been obtained are placed at page nos.419 to 442 of the typed set filed with the application constituting the and sought for dispensation with holding of meeting.

(ii) There is NIL secured Creditors and the certificate issued by the Chartered Accountants to this effect is placed at page nos. 407 to 408 of the typed set filed with the application. Hence the necessity of convening, holding and conducting of meeting does not arise.

(iii) There is one Unsecured Creditor and the certificate issued by the Chartered Accountants to this effect is placed at page nos.409 to 411 and consent affidavits given by the sole Unsecured Creditor have been obtained are placed at page nos.412 to 414 of the typed set filed with the application and sought for dispensation with holding of meeting.

7. We have perused the application and the connected documents / papers filed therewith including the Scheme contemplated by the Applicant companies.

8. From the certificate of incorporation filed, it is evident that the 1st Transferor Company namely Pricol Corporate Services Limited is a Public Limited Company incorporated under the provisions of Companies Act, 1956 on 10.11.2006. The Authorized Share Capital of the 1st Transferor Company is Rs.1,00,00,000 (Rupees One Crore only) divided in to 10,00,000 Equity Shares of Rs.10/- each. The Subscribed and Paid-up Capital of the 1st Transferor Company is Rs.1,00,00,000 (Rupees One Crore only) divided in to 10,00,000 Equity Shares of Rs.10/- each fully paid-up.

9. From the certificate of incorporation filed, it is evident that the 2nd Transferor Company namely Target Manpower Services Limited is a Public Limited Company incorporated under the provisions of Companies Act, 1956 on 04.10.2013. The Authorized Share Capital of the 2nd Transferor Company is Rs.5,00,000 (Rupees Five Lakhs only) divided in to 50,000 Equity Shares of Rs.10/- each. The Subscribed and Paid-up Capital of the 2nd Transferor Company is Rs. 5,00,000 (Rupees Five Lakhs only) divided in to 50,000 Equity Shares of Rs.10/- each fully paid-up.

10. From the certificate of incorporation filed, it is evident that the Transferee Company is a Public Limited Company namely Pricol Holdings Limited was originally incorporated under the provisions of Companies Act, 2013 on 10.04.1981 under the name and style of "Prins General Finance Private Limited and subsequently changed to Pricol Finance Limited and again changed to Pricol Holdings Limited. The Authorized Share Capital of the Transferee Company is Rs.1,75,00,000/- (Rupees One Crore Seventy – Five Lakhs only) divided in to 1,75,000 Equity Sahres of Rs.100/- each. The Subscribed and paid up capital of the Transferee Company is Rs.45,00,000/- (Rupees Forty- Five Lakhs only) divided in to 45,000 Equity Shares of Rs.100/- each fully paid – up.

11. The Applicant Companies has filed its Memorandum and Articles of Association *inter alia* delineating its object clauses as well as their last available Audited Annual Accounts of the 1st and 2nd Transferor Companies and Transferee Company for the year ended 31.03.2021 and the Unaudited Annual Accounts of the 1st and 2nd Transferor Companies and Transferee Company for the year ended 31.12.2021.

12. The Board of Directors of the Applicant Companies vide meeting held on 24th December 2021 has unanimously approved the proposed Scheme as contemplated above and copies of resolutions passed thereon have been placed on record by the applicant companies.

13. The Appointed date as specified in the Scheme Shall be 01.04.2021.

14. The Statutory Auditors of the Transferee Company have examined the Scheme in terms of provisions of Sec. 232 of Companies Act, 2013 and the rules made thereunder and certified that the Accounting Standards are in compliance with Section 133 of the Companies Act, 2013. The Certificate of the Statutory Auditors of the 1st and 2nd Transferor Companies and Transferee Company

issued in this regard is placed at Page Nos.443 to 448 of the typed set filed along with the Application respectively.

15. Taking into consideration the application filed by the Applicant Company and the documents filed therewith as well as the position of law, this Tribunal propose to issue the following directions : -

A. IN RELATION TO THE 1ST TRANSFEROR COMPANY:

(i) **With respect to Equity shareholders:**

Since it is represented by the 1st Transferor Company that there are 7 Equity Shareholders in the Company whose consents by way of Affidavits have been obtained from all and are placed on record, the necessity of convening holding and conducting the meeting is ***dispensed with***.

(ii) **With respect to Secured Creditors:**

Since it is represented by the 1st Transferor Company that there is one Secured Creditor in the Company, whose consents by way of Affidavits have been obtained from the Sole Secured Creditor and are placed on record, the necessity of convening holding and conducting the meeting is ***dispensed with***.

(iii) **With respect to Unsecured Creditors:**

Since it is represented by the 1st Transferor Company that there is Nil Unsecured Creditor in the company, hence the necessity of convening, holding and conducting a meeting does not arise.

B. IN RELATION TO THE 2ND TRANSFEROR COMPANY:

(i) **With respect to Equity shareholders:**

Since it is represented by the 2nd Transferor Company that there are 7 Equity Shareholders in the Company whose consents by way of Affidavits have been obtained from all the shareholders are placed on record, the necessity of convening holding and conducting the meeting is ***dispensed with.***

(ii) **With respect to Secured Creditors:**

Since it is represented by the 2nd Transferor Company that there is NIL Secured Creditor in the Company, hence the necessity of convening holding and conducting a meeting does not arise.

(iii) **With respect to Unsecured Creditors:**

Since it is represented by the 2nd Transferor Company that there is Nil Unsecured Creditor in the company, hence the necessity of convening, holding and conducting a meeting does not arise.

C. IN RELATION TO THE TRANSFEREE COMPANY:

(i) **With respect to Equity shareholders:**

Since it is represented by the Transferee Company that there are 8 Equity Shareholders in the Company whose consents by way of Affidavits have been obtained from all the shareholders

are placed on record, the necessity of convening holding and conducting the meeting is ***dispensed with***.

(ii) **With respect to Secured Creditors:**

Since it is represented by the Transferee Company that there is NIL Secured Creditor in the Company, hence the necessity of convening holding and conducting a meeting does not arise.

(iii) **With respect to Unsecured Creditors:**

Since it is represented by the Transferee Company that there is one Unsecured Creditor in the Company, whose consents by way of Affidavits have been obtained from the Sole Unsecured Creditor and are placed on record, the necessity of convening holding and conducting the meeting is ***dispensed with***.

16. The Applicant Companies shall submit the Company Petition(s) within 14 days from the date of receipt of this order. Accordingly, the Application stands **allowed**.

— Sd —

SAMEER KAKAR
MEMBER (TECHNICAL)

— Sd —

Justice (Retd) S.RAMATHILAGAM
MEMBER (JUDICIAL)

SriramAnanth.V